

Newgen Software Technologies Ltd

NSE: NEWGEN | BSE: 540900

STEADY COMPOUNDER WITH PRODUCT/SAAS MIX SHIFT

Report date: 2026-07-17 | Latest results: 2026-07-16 | Lens: it-services

1. Company Summary

Global software product company: workflow automation, document/content management, imaging; NewgenONE platform with annuity (SaaS/ATS/AMC/support), licenses, and implementation services. 17 verticals incl. Banking & FS, Insurance, Government (FY25).

MARKET CAP

Rs 7,808 Cr

PRICE

Rs 548

52-WEEK

Rs 1,042 / 401

SECTOR

IT - Software

2. Sector Context

How it operates: Enterprise software / IT product firms monetize platforms via licenses, SaaS subscriptions, ATS/AMC, and implementation. Newgen sits closer to product/platform than pure T&M services, but maps to IT-Software on screener so the it-services lens is used with product-specific deep-dive facts.

How it is valued: P/E vs growth and margins; for product/SaaS names, annuity mix and subscription growth are leading indicators alongside deal wins.

Competitive intensity: Crowded ECM/BPM/low-code space globally (Appian, Pega, OpenText peers conceptually); Indian listed comps are mid-cap software product names. Differentiation via platform breadth, vertical solutions, and analyst recognition.

Sector value chain

CLIENTS

Banks, insurers, government, enterprises by geography



PLATFORM VENDOR

Product R&D + delivery (NewgenONE)



DELIVERY MODES

SaaS / on-prem license + ATS/AMC + implementation



END WORKFLOWS

Content, process, communications orchestration

Sector-level flow (it-services lens, adapted for product/platform software)

Router cue: screener IT-Software → it-services. Attrition/utilization not disclosed in Q1 FY27 PR — gap stated in deep-dive.

3. Company Value Chain Positioning

Owns core platform IP (NewgenONE); not a pure services reseller.

UPSTREAM

Talent (engineering), cloud infra, third-party components as applicable



THE COMPANY — NEWGEN

Builds NewgenONE: unifies content, processes, communications; AI embedded; sells SaaS/subscription, licenses, ATS/AMC, implementation



DOWNSTREAM CUSTOMERS

Banks/NBFC, insurance, government, enterprises (India + Americas/APAC/EMEA)



END MARKET

Enterprise digital process / content orchestration and industry solutions (LOS, PAS, ECM)

Firm-specific placement. Sources: PR 16 Jul 2026; screener About

4. Situation Classification

- **Steady compounder with product/SaaS mix shift**
- FY22–FY25 mid-teens/20%+ sales growth with OPM ~22–26% and ROE ~20% (screener) — durable compounder profile.
- FY26 sales growth slowed to ~6% and PAT dipped YoY; Q1 FY27 shows re-acceleration (+11% sales, +26% PAT) with annuity strength — early, not fully de-risked.
- Almost debt-free balance sheet; elevated debtor days (164) are the main operating caution.

5. Near Term (Next 1 to 2 Quarters)

- **Q1 revenue & PAT [Delivered]:** Q1 FY27 revenue Rs 357 Cr (+11.2% YoY) and PAT Rs 62 Cr (+26% YoY), PAT margin 17.6%. “We have delivered a healthy start to FY’27, with Revenue growing at 11% YoY and Profit After Tax growing at 26%.” (Newgen PR 16 Jul 2026 (CEO Virender Jeet))
- **Annuity & SaaS lift [On Track]:** Annuity Rs 254 Cr; subscription Rs 146 Cr (+21% YoY); SaaS component +40% YoY; SaaS+license subscription Rs 60 Cr (+40% YoY). “Our SaaS and License Subscription revenues grew at 40% YoY to ₹60 crore, reflecting the continued strength of our recurring revenue business.” (Newgen PR 16 Jul 2026)
- **Named deal wins [Delivered]:** 10 new logos; disclosed wins ~Rs 26.7 Cr (Kuwait PAS), ~16.2 Cr (Philippines LOS), 15.6 Cr (Annapurna), ~14.5 Cr (UK ECM). “During the quarter, we added 10 new customer logos, secured strategic wins across banking, insurance, and enterprise content management.” (Newgen PR 16 Jul 2026)

6. Medium Term (6 to 12 Months)

- **Geo expansion momentum [On Track]:** Americas revenue +27% YoY; APAC +12%; EMEA +10% in Q1 FY27 — management frames as healthy demand across international markets. “Delivered broad-based geographic growth, led by the Americas, where revenues grew 27% YoY, followed by APAC at 12% YoY and EMEA at 10% YoY.” (Newgen PR 16 Jul 2026)
- **AI platform roadmap [Pending]:** Management emphasizes AI embedded across content/processes/workflows and enterprise agent orchestration; no dated quantitative milestone in the PR. “we continued to strengthen our unified platform, with AI deeply embedded across content, processes, applications, and enterprise workflows, while expanding our enterprise agent orchestration capabilities” (Newgen PR 16 Jul 2026 (CMD Diwakar Nigam))

7. Long Term (1+ Years)

- **Global product compounder** [Pending]: Strategy to deepen customer relationships and expand globally on NewgenONE; FY26 sales Rs 1,574 Cr with 5y sales CAGR ~19% (screener) — multi-year durability still depends on subscription mix and deal cadence. “we are well positioned to drive innovation, deepen customer relationships, expand globally, and deliver sustained value.” (Newgen PR 16 Jul 2026 (CMD))

8. Marquee & Niche Customers

- **Annapurna Finance Pvt Ltd (India)**: AI-enabled Loan Origination and Collections System; order value Rs 15.6 Cr (Source: Newgen PR 16 Jul 2026)
- **Kuwait insurance customer (unnamed)**: Core Insurance PAS transformation; ~Rs 26.7 Cr (KWD 875,000) (Source: Newgen PR 16 Jul 2026)
- **Philippines retail lending org (unnamed)**: Retail LOS; ~Rs 16.2 Cr (USD 1.71 mn) (Source: Newgen PR 16 Jul 2026)
- **UK enterprise (unnamed)**: ECM platform; ~Rs 14.5 Cr (GBP 1.13 mn) (Source: Newgen PR 16 Jul 2026)

Customer concentration %: not disclosed in sources reviewed.

Customer-own guidance check (Annapurna): not found in this test run.

9. Capex / Milestones / Certifications

Q1 FY27	10 new enterprise customer logos added achieved
Q2 2026	Forrester recognitions (AP invoice automation Wave; adaptive process orchestration; AppGen/low-code landscapes) achieved
Q1 FY27	Named wins: Kuwait PAS, Philippines LOS, Annapurna LOS/collections, UK ECM achieved ~Rs 73 Cr disclosed order values (sum of named)

10. Sector Deep-Dive — Growth quality & demand mix

Q1 FY27 REV GROWTH +11.2%	ANNUITY / SALES 254/357	SAAS GROWTH +40% YoY	ATTRITION n/d
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Revenue mix

- Q1 FY27 sales Rs 357 Cr (+11.2% YoY vs Rs 321 Cr).
- Annuity Rs 254 Cr; subscription Rs 146 Cr (+21%); SaaS component +40% YoY.
- SaaS + license subscription revenues Rs 60 Cr (+40% YoY) per CEO commentary.

Geography

- Americas +27% YoY; APAC +12%; EMEA +10% (growth rates disclosed; absolute mix not fully in PR).

Deal / TCV-style evidence

- 10 new logos; named wins totaling ~Rs 73 Cr disclosed (Kuwait PAS, Philippines LOS, Annapurna, UK ECM).

Talent metrics (lens must-haves)

- Attrition and utilization: not disclosed in Q1 FY27 press release or screener public page used this run — gap.

11. Financial Performance Summary

Period	Revenue (Cr)	YoY %	OPM %	PAT (Cr)	PAT margin %
FY22	779		25	164	21.1
FY23	974	25.0	22	177	18.2
FY24	1244	27.7	23	252	20.3
FY25	1487	19.5	25	315	21.2
FY26	1574	5.9	26	301	19.1
TTM	1610	8	26	314	19.5

SALES CAGR 5Y

19%

PAT CAGR 5Y

21%

SALES CAGR 3Y

17%

PAT CAGR 3Y

22%

TTM SALES GROWTH

8%

OPM % (FY26)

26%

ROE (FY26)

20%

DEBTOR DAYS

164

Balance sheet check

- Debtor days rose to 164 in Mar 2026 from 137 in Mar 2025 (screener) — elongated receivables; flagged as cons on screener.
- Almost debt-free: borrowings Rs 39 Cr vs equity+reserves ~Rs 1,777 Cr (Mar 2026).
- Investments rose to Rs 703 Cr (Mar 2026) from Rs 508 Cr — surplus deployment, not distress.

12. Segment-wise Performance

Revenue stream (Q1 FY27, company disclosure) (as of Q1 FY27)

Segment	Revenue (Cr) / note	YoY	Margin
Annuity (ATS/AMC + support + cloud/SaaS + subscription license)	254		
of which Subscription	146	+21%	
Total revenue from operations	357	+11.2%	PAT 17.6%

Geography growth rates (Q1 FY27 YoY; absolute geo revenue not fully disclosed except US note in secondary coverage) (as of Q1 FY27)

Segment	Revenue (Cr) / note	YoY	Margin
Americas	n/a (growth only)	+27%	
APAC	n/a	+12%	
EMEA	n/a	+10%	

Formal Ind AS 108 segment table not pulled in this test; using PR stream/geo disclosures.

13. Commercial backlog / demand indicators

As-of	Value	Basis	Composition	Source
Q1 FY27	10 new logos; ~Rs 73 Cr named wins disclosed	PR named contracts	Insurance PAS, retail LOS, AI LOS/collections, ECM	Newgen PR 16 Jul 2026

No cumulative order-book backlog figure disclosed in sources reviewed for this test.

14. Operating footprint

- **Global delivery / India HQ (New Delhi cited in PR):** Software product company; physical plant N/A (not broken out)

Raw materials: N/A for software product firm.

15. Capacity / utilization (sector analogue)

Utilization/attrition not disclosed in Q1 FY27 PR — lens gap

16. Market opportunity / TAM

No TAM figure in sources reviewed for this test

17. Valuation

Method (lens): P/E vs growth/margins (it-services lens)

PRICE	STOCK P/E	ROE	TTM SALES GROWTH
Rs 548	22.8	19.6%	8%

Stock P/E 22.8 on screener at Rs 548; 1Y price CAGR -47% (from 52w high Rs 1,042) while TTM sales/profit growth slowed to ~8%.

- FY26 PAT dipped YoY (315 → 301 Cr) despite sales up — other income lower (64 → 24) and growth deceleration.
- Q1 FY27 PAT +26% YoY with OPM seasonality (Q1 typically softer).

Historical median PE: Not fetched from secondary aggregator in this test run

18. Industry Tailwinds / Headwinds

- **Tailwind:** Enterprise AI + process orchestration spend; Forrester visibility aids pipeline.
- **Tailwind:** Multi-geo demand (Americas strength in Q1 FY27).
- **Headwind:** Soft deal closures can swing quarterly growth (seen in FY26 deceleration).
- **Headwind:** Competitive ECM/BPM/low-code landscape; pricing/talent pressure typical of sector.

19. Peer Comparison

Company	P/E	Sales growth (approx)	OPM/EBIT margin	Attrition
Newgen Software	22.8	TTM 8%	FY26 OPM 26%	Not disclosed
Peer set	n/a this run	n/a	n/a	n/a

Screener peers table did not load in fetch (JS). Full peer scrape deferred; subject row populated.

20. MOATs

- Own platform IP (NewgenONE) spanning content, process, communications — product stickiness once embedded in workflows. (Company About / PR)
- Vertical solutions (banking LOS, insurance PAS, ECM) and multi-geo delivery create switching costs after implementation. (PR named wins)
- Third-party recognition (Forrester Wave/landscapes Q2 2026) supports sales motion — not a moat alone. (PR 16 Jul 2026)

21. Technical Snapshot

Metric	Value
Price	Rs 548
52-week high/low	Rs 1,042 / 401
1Y price change (screener CAGR)	-47%
Market cap	Rs 7,808 Cr
P/E	22.8
P/B (price/BV 125)	~4.4x

As-of 2026-07-17. No RSI/DMA from secondary aggregator this run

22. Promoter / Governance Track Record

Period	Promoter %	FII %	DII %	Public %
Jun 2025	53.78	19.14	9.46	16.77
Mar 2026	53.52	14.48	8.85	22.34
Jun 2026	53.45	13.78	8.15	23.88

Guidance reliability: Single-quarter PR test run — multi-quarter guidance tracker not populated. Prior soft Q1s (e.g. Q1 FY26) show seasonality; Q1 FY27 beat soft base.

- CRISIL rating update on file dated 2025-06-05 (rationale PDF not fully extracted this test run).

23. Investment Thesis Summary

- Annuity-led model with Q1 FY27 annuity Rs 254 Cr of Rs 357 Cr sales and SaaS component +40% YoY supports earnings quality vs pure license lumpiness. (PR 16 Jul 2026)
- Multi-geo growth (Americas +27% YoY) and named vertical wins show demand beyond India. (PR 16 Jul 2026)
- Balance sheet is almost debt-free with rising investments; ROE ~20% and ROCE ~25% remain healthy. (screener)
- Thesis is tempered by FY26 growth slowdown, elevated debtor days, and a compressed stock after a large drawdown — evidence supports a quality compounder watchlist case, not a high-conviction acceleration case yet. (synthesis of screener + PR)

24. Key Risks

- High debtor days (164 as of Mar 2026) — working-capital / collection risk. (screener.in ratios)
- Growth deceleration in FY26 (sales +6% YoY) vs prior mid-20% — deal-closure cyclical (seen in earlier soft quarters). (screener P&L)
- Stock down sharply from 52w high (Rs 1,042 → 548) — multiple compression / growth disappointment risk remains. (screener quote)
- FII stake declined from ~20% (Sep 2024) to 13.8% (Jun 2026) while public float rose — ownership mix shift. (screener shareholding)
- Attrition, utilization, and top-client concentration not disclosed in sources used this run — talent/concentration risk unquantified. (lens gap)

25. Verdict

Newgen looks like a **steady product/software compounder** with a strengthening annuity/SaaS mix (Q1 FY27 annuity Rs 254 Cr; SaaS +40% YoY) and a clean, nearly debt-free balance sheet. The single strongest evidence is recurring-revenue quality plus multi-geo wins; the biggest open questions are **FY26 growth deceleration durability** and **164 debtor days**. Confidence:

moderate / watchlist — well-evidenced quality, not yet a high-conviction re-acceleration thesis. This is a pipeline test report (screener + official PR; full concall transcript PDF not ingested).

26. Sources

1. **Screener — Newgen consolidated** — Price, P&L, BS, ratios, shareholding, documents index

<https://www.screener.in/company/NEWGEN/consolidated/>

2. **Newgen Q1 FY27 press release** — Results, annuity/SaaS, geo growth, named wins, quotes

<https://newgensoft.com/company/press-releases/newgen-reports-revenue-of-%E2%82%B9357-crores-in-q1-fy27-up-11-percent-q1-yoy-profit-after-tax-at-%E2%82%B963-crores-up-26-q1-yoy/>

3. **Newgen IR presentations index** — Investor presentation / audio links (PDF binary not downloaded this run)

<https://newgensoft.com/investor-relations/presentation-and-audio-or-video-recordings-and-transcripts-quarterly-calls/>